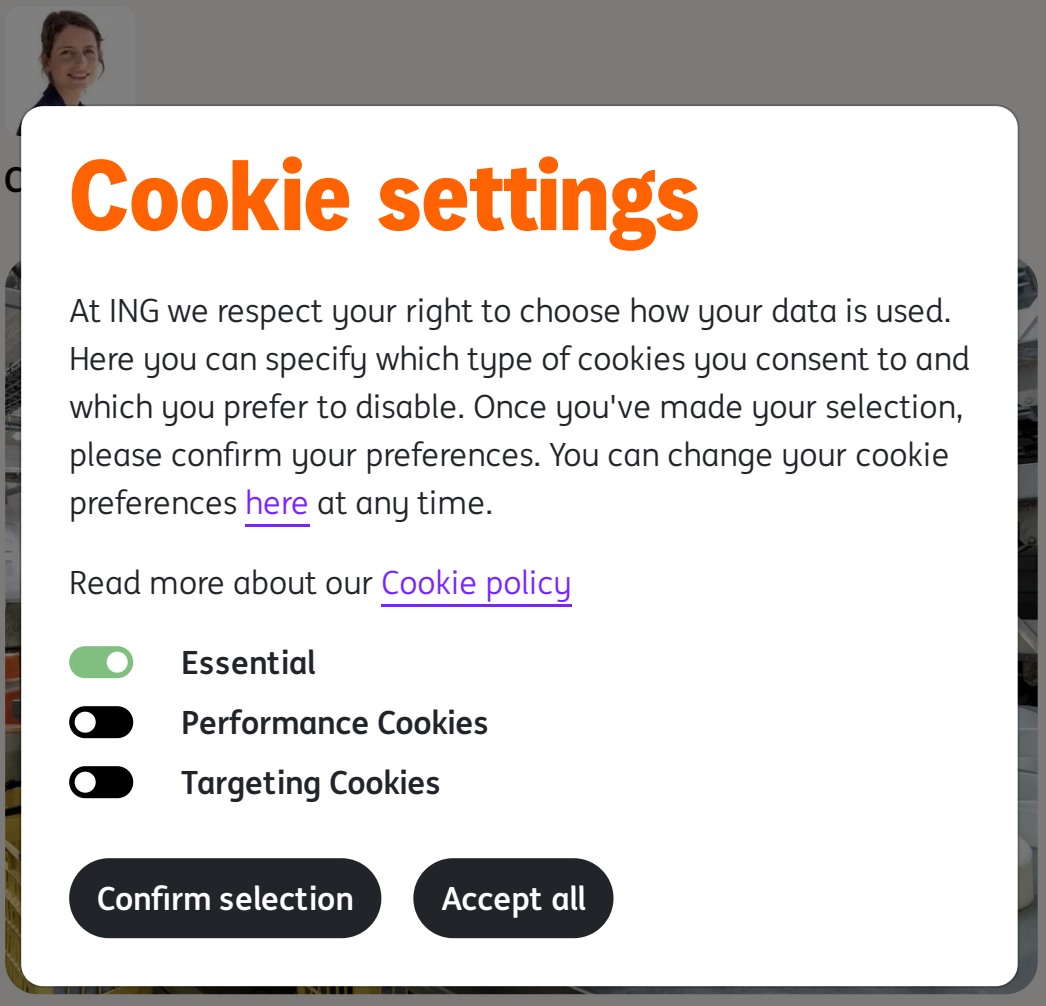
French manufacturing output rose for a second consecutive month in September, led by a sharp rebound in car production. But with output still below last year's level and construction firmly in recession, industry can only soften, not reverse, the economy's stagnation



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French manufacturing output rose for a second consecutive month in September

Manufacturing output returns to its June level

There is finally some better news from the French economy. Manufacturing output increased by 0.5% in September, following a 0.3% rise in August, bringing production back to its June level. The improvement was relatively broad-based. Food production rebounded by 1.0%, while output of electrical, electronic and

computer equipment rose by 2.6%, reaching its highest level since November 2023. Transport equipment production also increased by 2.7%, largely thanks to a 7.5% rebound in the automotive sector.

However, September's figures look more like a welcome recovery from previous weakness than the start of a sustained industrial upturn. Manufacturing output was still 0.9% below its level a year earlier. Transport equipment remained one of the main areas of weakness, with production down 3.8% year-on-year. Despite September's strong monthly increase, automotive production was still 9.3% lower than a year ago.

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under pressure in the coming months.

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Industry should outperform the rest of the economy

October's business surveys were relatively encouraging for industry, particularly compared with the deterioration in other sectors. Combined with a favourable statistical carry-over from the third quarter, this suggests that manufacturing could support activity in the final months of the year.

Still, the surveys predate the social unrest of 17 October, while order books remain weak, especially for exports, and tighter financing conditions are weighing on investment and inventories. Industry should therefore outperform services and construction in the fourth quarter, but not by enough to generate a broader recovery. After GDP contracted by 0.1% in the third quarter, growth is likely to remain close to zero.

Domestic demand is unlikely to provide much support

The outlook outside industry is weak. The rebound in household c
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Weak growth leaves even less room for fiscal manoeuvre

The budget process has since reached a new impasse. After 11 days of debate, the National Assembly unanimously rejected the revenue side of the 2027 budget on Wednesday evening, by 458 votes. The amendments adopted during the debate would have widened the deficit to an estimated 5.9% of GDP, well above the government's 5% target.

The government's initial draft will now go to the right-leaning Senate, which is expected to rewrite the budget by shifting more of

the adjustment from tax increases to spending cuts while seeking to preserve the 5% deficit target. An agreement between the two chambers remains highly unlikely, paving the way for the bill to return to the National Assembly, where the government could resort to Article 49.3. Alternatively, if parliament has not decided within the 70-day constitutional deadline, the government could implement the budget by ordinance.

This political deadlock comes on top of an increasingly difficult fiscal outlook. Under our forecasts, even the government's initial budget would leave the deficit at around 5.5% of GDP in 2027, above its 5% target. Yet the latest demonstrations are increasing p
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